

3.3.6 MANAGING CHANGE

Key factors of Change

Under this topic:

- a) Organisational culture.
- b) Size of organisation.
- c) Time/speed of change.
- d) Managing resistance to change.
- e) Transformative leadership.

Change management means planning and implementation of change in a way that is mindful of those who will be affected by the changes.

If a business attempts to force changes on the workforce – problems will arise. Changes must be; realistic, achievable and measureable

Two types of change

Planned change	Emergent change
• Refers to change which is planned by the top management of a business This could be: • Board of Directors • The Owners • Senior leadership team	• This is change that happens at any level in the organisation and is the result of an event or need • E.g. Computer back-up system has failed so a new IT system must be installed which will require training for all staff

The Possible Causes of Change in Business

Businesses operate in rapidly changing market conditions – need to be aware of constant organizational change and prepared to respond. (may use SWOT or PESTLE to analyze changes)

- Business size: varies in sizes – changes made by merging or taking over so business grows
- Poor business performance: tries to regain customers, sales, profits or reputation before business fails or closes – changes made to improve will be quick and made to senior management and its leadership style
- Market changes and other external factors (PESTLE): explores the external influences on the business in detail – changes in external factors is difficult to manage
- Changes in ownership: due to internal growth, mergers and acquisition or transition from plc ltd to private ltd – brings very sudden changes

Organisational culture – factor in change

- People are social beings who will adhere to cultural norms and values
- Successful change is based on redefining those existing norms and values and getting commitment from workers towards new ones
 - E.g. introducing a uniform

Size of organisation – factor in change

- As a business grows there will be inevitable changes within the organisation
- For example as a business grows from ltd to plc so that they can raise more finance by floating share on the stock market this will mean huge changes for the business

Time / speed of change – factor in change

- One of the main problems with change is to align expectations with reality
- Changes that happen too quickly will mean that employees may experience stress
- “I didn’t know it would happen so fast”
- “I can’t keep up with the all the changes”
- “I haven’t had time to adjust to all the improvements the business has made”

Change – continuous improvement

- A business may decide to become a kaizen organisation – adopting the ideal of continuous improvement
- This will mean small incremental improvements possibly every day
- The management also need a commitment to kaizen and make sure they are using good quality data to make decisions from

Traditional	Kaizen
Self	Team
Own department	Whole business
Fire fighting	Continuous improvement
Short term	Long term
Results driven	Process driven
Them and us	Harmony
Who is to blame	Ownership

Dr Kotter's 8 steps

Dr Kotter suggests there are 8 steps to effective change management and that a business should not rush or skip steps – see the diagram



Change – Example business: Cadbury

- Businesses operate in dynamic markets and must deal with change – positive and negative on a daily basis
- Some change is good for a business, keeps it fresh and moving forwards, e.g. Cadbury no longer produces cocoa essence but has developed new and delicious alternatives
- A business will need to adapt to internal changes e.g. the Kraft takeover of Cadbury
- A business will need to adapt to external changes e.g. due to a change in tax or interest rates or a recession

Managing Resistance to Change

Reasons why businesses face resistance:

- Fear of the unknown - people feel safe with familiar work practices, conditions and relationships
- Employees and mergers – fear of being unable to carry out new tasks, made redundant or fall in earnings
- Individual workers – worried they won't work with preferred colleagues or moved to a job they dislike
- Owners – fear of operating in unknown markets and conditions, might not be able to adjust to new situations and not want the cost of changes

- Customers and suppliers – unwilling to change their own practices

Generally, stakeholders may resist changes because:

- Disagreement with the reasons for or the necessity to change
- Fear of the impact
- Lack of understanding
- Disagreement with the process involved in delivering the change
- Lack of involvement
- General inertia – satisfaction with the current situation/ way of working

Transformative Leadership - factor in change

- Transformational leadership is a theory of leadership where a leader works with teams to identify needed change, creating a vision to guide the change through inspiration, and executing the change together with committed members of a group
- Transformational leadership serves to enhance the motivation, morale, and job performance of followers through a variety of mechanisms; these include connecting the employees' sense of identity and self to a project and to the collective identity of the business

Pls refer to Jan 2021 unit 3 Section B for a sample answer

Evidence E

Morrisons bids for big time after family bows out

This week is an historic one for Morrisons and its founding family. On Thursday, 75-year-old Sir Ken Morrison will step down as chairman, to be succeeded by Ian Gibson, after more than 50 years in charge.

Sir Ken took over the company at the age of 21 and ran it until 2006. His father, William, founded what is today a FTSE 100 company when he became an egg and butter merchant in Bradford, Yorkshire, in 1899. For the first time, no member of the Morrison family will be in charge or on the board, which may have an impact on the culture of the business.

In many ways, Morrisons has been changing for some time. Sir Ken's retirement is more symbolic than anything. Since Dutchman Marc Bolland became chief executive 18 months ago, he has tried to shake off its dowdy image as a budget, pie-selling traditional Northern retailer, which the Morrison family had worked so hard to foster over the years. This formula was successful when the supermarket was based in Yorkshire, but when Sir Ken bought the mainly southern-based Safeway in 2003, many former Safeway shoppers deserted Morrisons.

Ten years ago, Morrisons' Christmas television adverts featured the supermarket's pies, cut-price family-size packets of crisps and smiling in-house butchers. Last Christmas, singer Lulu was the star turn in its advert, which also starred celebrities Nick Hancock, Denise van Outen and football pundit Alan Hansen, as part of the supermarket's attempts to inject some glamour and modernity into its image and attract younger, more southern-based shoppers.

Assess the possible impacts on Morrisons' Corporate Culture of Sir Ken Morrison's decision to step down as Chairman. [8]

Corporate Culture describes the prevailing attitudes and values in an organisation or business.

- Sir Ken Morrison is the son of the business' founder, William, so up to this point the business has been a 'family' one
- Application of Handy's categories e.g. Power; Role; Person etc.
- Morrison's has been a traditional 'Northern' business, focussing on cheap, honest values
- The Chairman of a PLC has decision-making power which affects the whole business.
- As son of the founder and Chairman of the company, Sir Ken had powers to make important strategic decisions that could influence culture e.g. store openings
- His historical position in the business is likely to have made him more influential than chairman of similar business organisations, thus affecting culture too.
- Sir Ken may have seen the need for a change of culture, wanting to make this easier by stepping aside for Ian Gibson

- Strategic decisions and changes will affect the day-to-day working conditions and therefore culture, which is more informal than business objectives or missions and can be influenced by a range of factors outside the control of the chairman and the board
- The change in culture may be what is needed as Morrisons tries to expand and become a national force
- Despite this the family nature of the business in the past would have influenced culture to a large extent, particularly in relation to the business' objectives and geographical location

Question 2

Extract C

Business culture at Google

Google believes that it is really the employees who make Google the kind of company it is. It hires people who are highly intelligent and creative, and favours ability over experience. Although Google's employees share common goals and visions for the company, they come from a variety of different backgrounds and speak dozens of languages to reflect the global audience that Google serves.

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Google strives to maintain the open culture often associated with start-ups, in which everyone is a hands-on contributor and feels comfortable sharing ideas and opinions. In weekly meetings – not to mention over email or in the café – Google's employees ask questions directly to executives about any number of company issues. The company's offices and cafés are designed to encourage interactions between employees both within and across teams, and to encourage conversation about work as well as play.

10

(Source adapted from: www.google.com/about/company/facts/culture)

Extract D

Business culture at Yahoo!

Chief Executive, Marissa Mayer, has banned staff from 'working from home'. She considers this decision to be a key part of her strategy for changing the culture at Yahoo!

When an email from human resources dropped into the inbox of Yahoo! staff, banning them from working from home, it angered many staff. They considered this to be a backwards step in an age where working from home is standard in many of the most successful companies in the technology sector.

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'Some of the best decisions and insights come from hallway and cafeteria discussions, meeting new people, and informal meetings,' the email stated. 'Speed and quality are often sacrificed when we work from home.'

(Source: article adapted from <http://www.telegraph.co.uk/finance/newsbysector/mediatechnologyandtelecoms/9892282/Yahoo-boss-bans-working-from-home.html>)

Assess the likely impact on the corporate culture of a business such as Yahoo! of banning staff from working from home.

(10)

- Business culture is the unwritten code that affects the attitude and behaviour of staff
- Existing culture – staff currently can work from home which suggests they are trusted. This means that if they are banned from remote working, staff will lose motivation and this may affect the culture negatively
- Resistance to change – staff will feel threatened and consider remote working to be more practical therefore productivity might suffer, resulting in fewer software developments
- Importance of good communication–culture may be negatively affected because staff were informed by an email rather than face to face. This may create suspicion and resentment and consequently absenteeism and labour turnover could rise.

Potential counterbalance:

- Culture could be improved by a more positive working atmosphere due to greater staff interaction in the work place rather than staff working at home. This could lead to the development of more innovative software products
- The working environment may be more productive, as decision making may be quicker and of better quality, due to greater staff interaction at work both formally and informally. This could result in new innovations being launched earlier than the competition.

Potential judgement

- The impact on the culture of Yahoo! may be positive if employees are convinced or effectively persuaded of the benefits of this change
- A negative impact may be that some staff may resent and resist this change leading to lower motivation and higher absenteeism.

CONTINGENCY PLANNING

a) Identifying key risks through risk assessment:

- natural disasters
- IT systems failure
- loss of key staff.

b) Planning for risk mitigation:

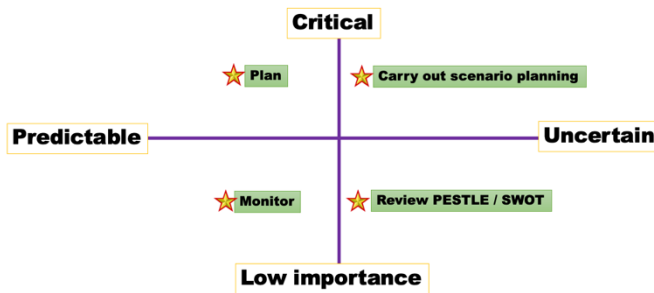
- business continuity
- succession planning.

What is contingency planning? (also referred as scenario planning)

Scenario planning is the process of anticipating possible changes in a business's situation and devising ways of dealing with them. It incorporates the features of contingency planning.

It is a strategic planning method designed to identify potential crises that a business might experience. (work out how to protect the business and prepare the business to exploit any opportunities) It is a disciplined approach to dealing with uncertainty in the future.

Scenario planning



- Scenario planning is the process of looking at potential future situations and planning for those events
- The idea is that if we look creatively at what the future could look like (e.g. energy needs), the drivers and the implications that a business can create a series of strategies to handle those situations

Contingency planning helps to:

- Make clear some of the future uncertainties in business, identify risks and opportunities, and prepare for something that may happen
- Teach managers how crises may occur, develop and affect the business
- Understand the causes and effects of change in business and how to manage it

Problems faced in contingency planning:

- Time consuming and expensive – may not dedicate sufficient resources and fail to carry out process efficiently
- Preparing for events that may never happen is a waste of money
- Finding people in the business who have a deep enough understanding of potential crisis
- Large business likely to have the resources while small businesses do not

Steps in the process of contingency planning:

1. **Identify trends and issues** – checking the internal and external environment in an effort to identify any emerging threats
2. **Identify possible crises** – imagine a range of crises that might affect their operations
3. **Plan a response** – identifying the exact impact crises will have on the business and developing plans to deal with them
4. **Identify the most likely crises** – as a business is not likely to have enough resources to plan responses to all crises so they would need to priorities the most likely ones
5. **Capitalize on crises** – applying the planned responses if crises happen (not all outcomes are negative)

Risk Assessment

Identifying key risks through risk assessment, there are lots of key risks for a business, and these are mostly industry specific (think clothes vs energy) but the ones that your exam board would like you to know about are:

1. natural disasters
2. IT systems failure
3. loss of key staff

Risk assessment is identifying and evaluating the potential risks that may be involved in an activity that a business proposes to do, and then ensuring compliance with health and safety laws.

(Useful to contingency planning because it can be extended to assess and identify risk and decide who might be harmed and estimate the probability of events occurring.)

Possible Crises

- **Natural disasters** – A disaster can strike any organisation, large or small. It can arrive in the shape of storm, flood, fire, earthquake and even Tsunami. It may take some time for the business to return to normal operation after an incident. Climate change means UK businesses must plan for extremes of weather
- **IT systems failure** – IT systems often contain data about: Customers details including; e-mails, phone numbers, addresses, supplier's details, stock control information, how much stock is in the warehouse, location etc.

Human resources data; sensitive information on contracts, pay rates, health matters and personal circumstances

If this information is lost it could be disastrous for the business (and possibly the customers)

Scenario planning means that adequate firewalls, backups and alternatives are planned for and in place

- **Loss of key staff** – When a key figure leaves whether it's a band or a business, it can have serious repercussions on that organisation's stakeholders.

It is important to plan for the loss of key staff so that when it happens the business continues as normal

Risk Mitigation

Degrees of risk mitigation

There are degrees of risk mitigation and these depend of specific contextual influences and the overall attitude of the decision-makers in the business. Again there are lots that could be discussed but your exam board would like you to know about just four:

1. Risk acceptance
2. Risk avoidance
3. Risk limitation
4. Risk transference

Risk acceptance

- The balance between risk and reward is the very essence of business: without taking risks companies cannot generate profits
- There is a world of difference between calculated risks, taken with planning and careful judgement, and risks taken carelessly or unwittingly.
- An acceptance that there is an element of risk to every business venture is at the heart of successful business and risk management

Risk avoidance

- Risk avoidance is the elimination of hazards, activities and exposures that can negatively affect an organisation's assets.
- Whereas risk management aims to control the damages and financial consequences of threatening events, risk avoidance seeks to avoid compromising events entirely.
- For example a multinational pulling out of an unstable country

Risk limitation

- The 'bottom line' for businesses is that some risks are both identifiable and manageable.
- Risks can be limited by
 - Watching what is said and done to reduce the possibility of being sued
 - Managing data carefully
 - Become a LTD to gain limited liability
 - Hiring a good solicitor
 - Having plenty of insurance
- This can also be done by investing in security systems such as CCTV for a business, or a dog or fences
- In the ICT a business may have a firewall or password protection levels

Risk transference

- Buy some insurance!
- You buy car insurance in case you have a crash, not after you have a crash. It is protection against the risk (and the law)
- A business will buy insurance, for example:
 - **Public liability insurance** covers the business for claims made against the business by a client or member of the public for accidental injury.
 - **Employers' liability** protects the business if an employee is injured and the business has been negligent.

Planning for risk mitigation

Mitigation means the action of reducing the severity, seriousness, or painfulness of something.

Reducing the impact of a risk can be achieved in many ways, the ones your exam board would like you to know about are:

1. Business continuity
2. Succession planning

Business continuity defined

- Business Continuity (BC) is defined as the capability of the business to continue delivery of products or services at acceptable levels following a disruptive incident
- Business Continuity is often described as 'just common sense'. It is about taking responsibility for the business and enabling it to stay on course whatever storms it is forced to weather. It is about "keeping calm and carrying on"

Business continuity improving resilience

- BC is about building and improving resilience in the business
- it's about identifying the key products and services and the most urgent activities that underpin them and then, once that analysis is complete
- it is about devising plans and strategies that will enable the business to continue operations and enable it to recover quickly and effectively from any type disruption whatever its size or cause.

Succession planning defined

Succession planning is defined as a process for identifying and developing potential future leaders or senior managers, as well as individuals to fill other business-critical positions, either in the short- or the long-term

To what extent is succession planning can reduce risk?

- Succession planning is a process for identifying and developing new leaders, from existing employees who can replace existing leaders when they leave, retire or die
- The benefits of having a succession plan may result in *the business* not being negatively affected during a transition period when CEO steps down and the new CEO, takes over
- This could maintain *the company's* culture which is an important factor when managing change
- Managing a change in leadership with succession planning could reduce the risk for *the business* because they have personnel already in place to run the business

Evaluation

- However, succession planning relies on nurturing an existing member of the company to become the CEO
- Not all employees want to take on such a role, especially in such a huge businesses
- The new successor may already be familiar with the culture of *the business* but this does not guarantee that there will be smooth transition or that the business will not face any risks
- There are many other factors which will affect *the business* in the future
- There could be external factors such as China-US trade war which might badly affect the company despite succession planning
- No amount of succession planning can reduce all the risks a business faces.
- There are other business tools such as SWOT analysis which might be more useful in reducing risk for *the company*

Conclusion

Having a succession plan may help to reduce risk but cannot completely eliminate all the external risks including natural disasters or IT failures

Sample questions

Extract D - Risk Factors affecting *Mondelēz*

The following risks could adversely affect our business. While we have identified the risks below, there may be additional risks that we have not considered:

- we operate in a highly competitive industry
- we are subject to risks from operating globally
- our operations in certain emerging markets expose us to political, economic and regulatory risks
- we are subject to currency exchange rate fluctuations
- commodity and other input prices are liable to sudden change
- our intellectual property rights are valuable, and our failure to protect them could reduce the value of our products and brands.

Extract D outlines some of the possible risks that might affect *Mondelēz* in the future.

Assess the likely usefulness of contingency planning in reducing the impact of risks for *Mondelēz*.

(12)

Knowledge, Application, Analysis, Evaluation – indicative content

- Contingency planning anticipates risks before they happen and formulates a plan of action to cope with the risks.
 - If problems do occur, then Mondelez is ready to implement the plan and can save time and possibly expense – recovery to normal working will be quicker.
 - Mondelez faces a range of possible risks, as outlined in Extract D.
 - For example, a competitor may suddenly cut prices or bring out a better product.
 - Mondelez depends on commodities such as sugar and cocoa for many of its snack products, prices can be volatile and subject to unexpected events such as poor harvests.
 - Mondelez needs to make sure that it is planning for the risks that are most likely to happen in practice and should weigh up the probabilities of each unwanted event actually happening.
 - Plans need to be regularly tested and updated. This takes time and money.
 - Contingency planning cannot cover every eventuality.
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Question 2

More problems for Toyota

In the UK, some 180,865 Toyota vehicles are being called back in, but new parts needed to rectify the problems are currently being shipped from Japan; it will take days for them to arrive, delaying the start of the repair programme. Not all customers were contactable and Toyota has made a request to the DVLA (the UK vehicle licensing authority) to obtain the names and addresses of owners.

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Toyota yesterday put a video message from UK commercial director Jon Williams on YouTube in a bid to reassure customers. He said: "I drive a Toyota. My family and friends drive a Toyota. I wouldn't allow my loved ones to drive our cars if I didn't think they were safe." Mr Williams added: "We are truly sorry for letting our customers down."

(Source: adapted from an article by Matt Dickinson, Press Association, published in *The Independent* Friday, 5 February 2010)

Evaluate the usefulness of contingency planning to Toyota (20 marks)

Level	Mark	Descriptor	Possible content
1	1-2	Knowledge/understanding of what is meant by contingency planning. <i>Material presented is often irrelevant and lacks organisation. Frequent punctuation and/or grammar errors are likely to be present and the writing is generally unclear.</i>	For example, defines or identifies what is meant by contingency planning – preparing in advance for situations that are unlikely but possible.
2	3-6	Application must be present, i.e. the answer must be contextualised and applied to the Toyota example. Low Level 2: 3–4 marks. Application is weak. High Level 2: 5–6 marks. Application to Toyota and/or product recall is clear. <i>Material is presented with some relevance but there are likely to be passages that lack proper organisation. Punctuation and/or grammar errors are likely to be present which affect clarity and coherence.</i>	For example, have a plan ready for any car safety problems. For example, product recall could be part of Toyota contingency for safety problems. Toyota has a reputation for product safety.

Level	Mark	Descriptor	Possible content
4	13-20	Evaluation must be present and in context, showing the extent to which contingency planning is useful. Low Level 4: 13–14 marks. Some evaluative points are made, based on analysis of the business situation without arriving at a conclusion/judgement. Mid Level 4: 15–17 marks. A judgement is attempted with some effort to show how useful contingency planning is/is not to Toyota. High Level 4: 18–20 marks. Convincing evaluation on the usefulness of contingency planning, Several strands may be developed; the answer is clear and articulate leading to a convincing conclusion (candidates may use MOPS). N.B. if evaluation not in context, limit to Level 3. <i>Material is presented in a relevant and logical way. Some punctuation and/or grammar errors may be found but the writing has overall clarity and coherence.</i>	For example, contingency planning has an opportunity cost in terms of the time and resources involved and may never be needed. For example, if too much time is spent on contingency planning the present costs may outweigh future benefits. For example, contingency planning may be in place for more common problems, such as political unrest in foreign markets, but cannot cover all eventualities. For example, the scale, scope and unusual nature of Toyota's problems is such that contingency planning may have been of little use or could not possibly have anticipated or coped with such an eventuality. For example, may be more difficult to put together a contingency plan for new technology which is not mass tested, as not as much historical data is available.

Level	Mark	Descriptor	Possible content
3	7 -12	Analysis in context must be present, i.e. the candidate must give reasons/causes/costs/consequences of contingency planning to Toyota. Low Level 3: 7–9 marks. Analysis limited: only one or two reasons/causes/costs or consequences are outlined. High Level 3: 10–12 marks. Analysis is more developed: two or more reasons/causes/costs and/or consequences are outlined and developed. N.B. if analysis is not in context, limit to Level 2. <i>Material is presented in a generally relevant and logical way but this may not be sustained throughout. Some punctuation and/or grammar errors may be found which cause some passages to lack clarity or coherence.</i>	For example, contingency planning would allow Toyota to react quickly to potentially damaging events without wasting time and help to minimise potential losses/costs (evidence mentions time taken for parts to arrive). For example, contingency planning would help Toyota to defend their reputation for safety and customer care, thus safe-guarding sales and maintaining relationships with stakeholders (evidence mentions difficulty tracking down all customers). For example, contingency planning can give a competitive advantage over rivals if Toyota is better prepared than they were in this instance.